

SECTION 8: INTERNATIONAL FINANCE

8.1 BALANCE OF PAYMENTS

Multiple Choice Questions

1990/CE/II/36

Which of the following will have favourable effects on the current account of Hong Kong's balance of payments?

- (1) A Japanese tourist spends a day in the Ocean Park.
 - (2) An American bank sets up a representative office in Hong Kong.
 - (3) The Hong Kong government buys a computer system from the USA.
 - (4) A Hong Kong resident receives dividends from his US stocks.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

1990/CE/II/46

There will be a worsening of both the balance of payments and the balance of trade if

- A. exports increase.
- B. re-exports decrease .
- C. investment in foreign countries decreases.
- D. the government gives more aid to foreign countries.

1990/CE/II/60

Which of the following is **NOT** an effect of importing foreign skilled labour for the construction industry?

- A. a favourable effect on Hong Kong's balance of payments
- B. pressure on Hong Kong's social services
- C. a slower increase in the real wage rate of Hong Kong's construction workers
- D. a favourable effect on Hong Kong's GDP

1991/CE/II/49

The rental income earned from a property in Canada and remitted to Hong Kong by a Hong Kong citizen

- A. is included in the GDP of Hong Kong.
- B. has a favourable effect on Hong Kong's balance of visible trade.
- C. has a favourable effect on Hong Kong's balance of payments.
- D. is taxable in Hong Kong.

1991/CE/II/50

The following table shows the balance of payments of a country:

	<u>\$ billion</u>
Exports	30
Imports	X
Capital inflow	50
Capital outflow	60

Foreign exchange and gold reserves decrease by \$20 billion. What is the value of X ?

- A. 10
- B. 20
- C. 30
- D. 40

1991/CE/II/60

The _____ of Hong Kong in **NOT** affected when some goods are imported to Hong Kong.

- A. visible trade balance
- B. current account
- C. capital account
- D. foreign exchanged and gold account

1992/CE/II/52

Calculate the value of net exports from the following information :

Domestic exports of goods	\$300
Re-exports of goods	\$150
Imports of goods	\$350

- A. -\$50
- B. \$100
- C. \$450
- D. \$800

1992/CE/II/60

Which of the following items would **NOT** be entered in the capital account of Hong Kong's balance of payments?

- A. A Hong Kong citizen buying a factory in Japan.
- B. A Hong Kong citizen buying a computer made in the U.S.A.
- C. A Hong Kong citizen buying securities in London's stock market.
- D. A Hong Kong citizen buying a house in the U.S.A.

1993/CE/II/40

	<u>\$ million</u>
Private consumption expenditure	40
Government consumption expenditure	10
Gross domestic fixed capital formation	10
Change in stocks	1
Total exports of goods	80
Domestic exports	70
Re-exports	10
Imports of goods	60
Exports of services	20
Imports of services	30
Inflow of capital	30
Outflow of capital	15

The balance of payments of the economy in that year is

- A. \$10 million
- B. \$15 million
- C. \$20 million
- D. \$25 million

1993/CE/II/54

Which of the following will improve the capital account of Hong Kong's balance of payments?

- A. A Hong Kong businessman sets up a computer firm in the U.S.A.
- B. A British investor buys a commercial building in Hong Kong.
- C. A Hong Kong shipping company receives rental income for providing shipping services to a foreign merchant.
- D. A Hong Kong investor receives a dividend from an overseas investment.

1994/CE/II/51

From the following information, find the value of re-exports:

Domestic exports	\$500
Trade balance	\$250
Imports	\$450

- A. \$50
- B. \$200
- C. \$250
- D. \$300

1994/CE/II/55

Which of the following has a favourable effect on the current account of Hong Kong's balance of payments?

- A. A Macau citizen leaves Hong Kong by using the service provided by a Hong Kong hydrofoil company.
- B. A businessman from Mainland China invests in the real estate market in Hong Kong.
- C. A local bank pays interest to an overseas depositor.
- D. A company in Mainland China issues shares in Hong Kong.

1994/CE/II/56

Mr Chan, who is an imported worker in Hong Kong, remits his income to his family in China. Which of the following statements is correct?

- A. Mr Chan's income is included in Hong Kong's GNP.
- B. The remittance has an unfavourable effect on Hong Kong's balance of visible trade.
- C. The remittance has a favourable effect on Hong Kong's balance of invisible trade.
- D. The remittance has a favourable effect on China's balance of payments.

1995/CE/II/54

Consider the following balance of payments account of an economy:

	\$ million
Export of goods & services	2 800
Import of goods & services	3 200
Capital inflows	Z
Capital outflows	700
Increase in foreign exchange & gold services	40

Z is

- A. 260
- B. 340
- C. 1 060
- D. 1 140

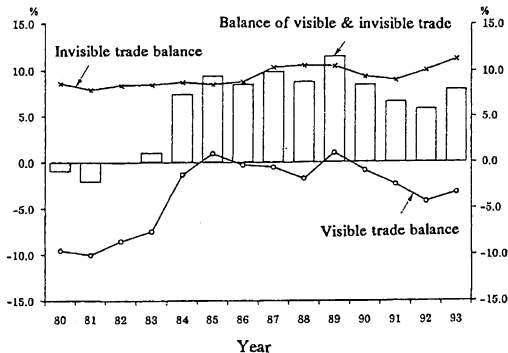
1995/CE/II/56

If an American tourist gives money to local beggars, Hong Kong's GDP will _____ and its balance of payments will _____.

- A. increase be improved
- B. increase remain unchanged
- C. remain unchanged be improved
- D. remain unchanged remain unchanged

1995/CE/II/57

TRADE BALANCES AS % OF GDP



Source: Hong Kong Economic Indicators, Standard Chartered

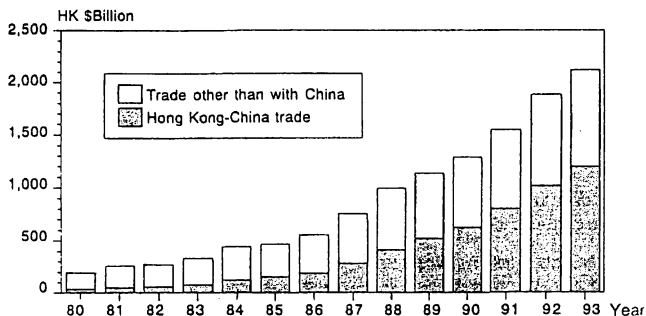
Based on the above chart, which of the following are correct?

- (1) The payments for imports of goods usually exceed the receipts from exports of goods.
- (2) Over the years, net exports of services accounted for more than 7% of Hong Kong's GDP.
- (3) Hong Kong's current account has a surplus in recent years.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1995/CE/II/58

Hong Kong's trade, overall and with China



The above graph shows that in recent years,

- A. the value of Hong Kong's trade with countries other than China had decreased.
- B. Hong Kong had gained an increasing surplus from its trade with China.
- C. the flow of people between Hong Kong and China has increased.
- D. China has become largest trading partner of Hong Kong.

1996/CE/II/48

Which of the following will worsen the balance of payments but not the balance of trade of Hong Kong?

- A. A Japanese pop singer cancelled his concerts in Hong Kong.
- B. A charity organization in Hong Kong reduced its donations to Mainland China.
- C. U.S. businessmen reduced their investment in Hong Kong.
- D. Re-export from Hong Kong to Mainland China decreased.

1996/CE/II/49

The official opening of Macau International Airport took place in December 1995. It is predicted that one-third of the visitors from Taiwan using Hong Kong's airport services will be diverted to Macau. This will

- (1) have a favourable effect on the balance of trade of Macau.
- (2) increase Macau's gross domestic product.
- (3) reduce the demand for Hong Kong's airport services.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

1996/CE/II/50

Which of the following is favourable to the capital account of Hong Kong's balance of payments?

- A. An American firm buys some certificates of deposit issued by a bank in Hong Kong.
- B. An American firm donates money to a charitable organization in Hong Kong.
- C. A Hong Kong firm buys a hotel in Canada.
- D. A Hong Kong firm receives interests and dividends from its investment in the U.S.A.

1996/CE/II/51

Refer to the following data in the balance of payments account of a country.

	\$ billion
Visible exports	15
Visible imports	13
Invisible exports	8
Invisible imports	11
Inflow of capital	9
Outflow of capital	12

This country has a/an _____ balance of visible trade and a/an _____ balance of payments.

- A. favourable favourable
- B. favourable unfavourable
- C. unfavourable favourable
- D. unfavourable unfavourable

Answer Questions 50 and 51 by referring to the data below of an economy in a certain year:

	\$Billion
Domestic exports of goods	15
Re-exports	8
Imports of goods	20
Exports of services	7
Imports of services	4
Net capital inflow	-2

1997/CE/II/50

The balance of visible trade (in \$ billion) is

- A. -5
- B. -2
- C. 3
- D. 6

1997/CE/II/51

The balance of payments (in \$ billion) is

- A. -4
- B. 0
- C. 1
- D. 4

1997/CE/II/52

Which of the following will produce a favourable effect on the balance of payments of Country A?

- A. The citizens of Country A increase their investment abroad.
- B. The government of Country A abolishes the tariffs in imports.
- C. The citizens of Country A receive interest from the US government bonds they hold.
- D. The government of Country A pays for the service of a foreign consultant firm.

1998/CE/II/46

Which of the following is an invisible export in Hong Kong's balance of payments accounts?

- A. A Japanese firm buys shares on the Hong Kong Stock Exchange.
- B. A Hong Kong citizen buys tickets from Japanese airlines.
- C. A Hong Kong citizen remits money to his son in Japan.
- D. A Japanese tourist consults a local doctor in Hong Kong

1998/CE/II/53

Which of the following statements about the firework display for the handover ceremony of Hong Kong to China is **INCORRECT**?

- A. Consumption was involved when people watched the firework display.
- B. The nominal GDP of Hong Kong increased.
- C. There was a favourable effect on the visible trade balance of Hong Kong.
- D. The firework display has an opportunity cost because the money spent on it has other uses.

1999/CE/II/47

The following information shows the trade statistics of an economy in a certain year:

	\$ million
Domestic export of goods	30
Re-exports	40
Import of goods	50
Export of services	60
Import of services	80

According to the above data, the economy

- A. has a visible trade surplus.
- B. has a visible trade deficit.
- C. has no visible trade surplus or visible trade deficit.
- D. There is not enough information to obtain the answer.

1999/CE/II/53

Being a Hong Kong resident, Mr Wong earns a living in Hong Kong. He gets married to Mei-ling who lives in Mainland China. Which of the following events will **NOT** affect the balance of payments of Hong Kong?

- A. He buys a wedding ring in Hong Kong and takes it to her by Himself.
- B. He remits a sum of money as the betrothal (聘禮) gifts through a Bank to Mei-ling's parents.
- C. He pays for the honeymoon trip to Thailand.
- D. He rents a residential apartment for her in Shenzhen.

1999/CE/II/54

Which of the following is **NOT** included in the calculation of the balance of Hong Kong's current account?

- A. The investment of a U.S. company in a Hong Kong computer firm.
- B. Japanese cars sold in Hong Kong
- C. A drama performance attended by the tourists in Hong Kong.
- D. The exports of China handled in the container port of Hong Kong.

2000/CE/II/50

Suppose country A has a balance of payments deficits in Year 1. In Year 2, the changes in the balance of payments are as shown below:

	\$ Billion
Export of goods	+28
Export of services	+7
Import of goods	+35
Import of services	+13
Capital inflows	+5
Capital outflows	+8

Based on the above information, we can conclude that

- A. In Year 2, the visible trade deficit has increased.
- B. In Year 2, the visible trade deficit has decreased.
- C. In Year 2, the balance of payments deficit has increased.
- D. In Year 2, the balance of payments deficit has decreased.

2000/CE/II/51

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A company in Hong Kong pays interests for loans from a bank in U.K.
- B. A Hong Kong resident purchases a new flat in Shenzhen.
- C. A U.S. investors purchases 5 000 units of the Tracker Fund of Hong Kong.
- D. An author in Hong Kong sells the copyright for his new book to a publisher in Taiwan.

2001/CE/II/41

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A foreigner buys shares issued by a local property developer.
- B. A foreigner receives rental income from his property in Hong Kong.
- C. A company in Hong Kong donates medical equipment to a hospital in Mainland China.
- D. A US manufacturer sets up a factory in Hong Kong.

2001/CE/II/45

Hong Kong's Balance Of Payments Account		\$ million
Current Account	72 000	
Goods		-25 000
Services		81 000
Factor income		27 000
Current transfers		-11 000
Capital and Financial Account	-76 000	
Net errors and omissions	4 000	
		Total sum = 0

According to the above data,

- (1) the visible trade deficit is \$25 000 million.
 - (2) the invisible trade surplus is \$81 000 million.
 - (3) the balance of payments account is in balance.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2002/CE/II/48

Which of the following should be included in the calculation of the balance of Hong Kong's current account?

- A. A Hong Kong resident buys a life insurance policy from an insurance company in the US.
- B. A company in Hong Kong purchases the copyright of a film from a British film producer.
- C. A Hong Kong resident purchases a house in the US.
- D. A Hong Kong investor buys a number of shares of a listed company in the US.

2003/CE/II/43

Refer to the data of an economy in a certain year below:

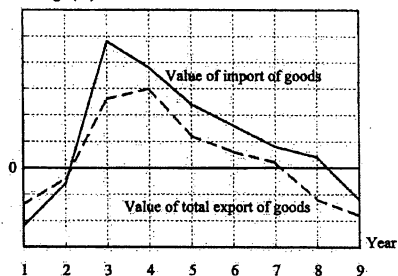
	\$ Billion
Domestic exports of goods	20
Imports of goods	50
Visible trade balance	-5

The re-exports (in \$ billion) are

- A. 15
- B. 25
- C. 30
- D. 35

2003/CE/II/48

Rate of Change (%)



According to the above diagram, from Year 4 to Year 6,

- A. the economy has suffered from visible trade deficit.
- B. the value of import of goods has decreased.
- C. the value of total export of goods has increased.
- D. the visible trade deficit has improved.

2004/CE/II/49

Many foreign tourists cancelled their holiday trips to Hong Kong during the SARS infection. This would

- A. worsen Hong Kong's visible trade balance.
- B. worsen Hong Kong's invisible trade balance.
- C. make Hong Kong's balance of payments imbalanced.
- D. All of the above are correct.

2004/CE/II/50

Mr Wong, a Mainland resident, comes to visit Hong Kong for a week. Which of the following should be included in Hong Kong's current account?

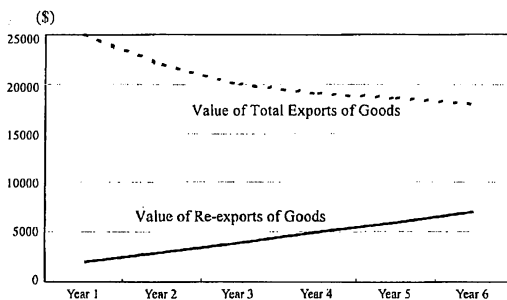
- A. the transport service he bought from a Mainland airline
- B. the accommodation service he bought from a Hong Kong hotel
- C. the residential flat in Tsim Sha Tsui he bought
- D. the Bank of China (H.K.) Ltd shares he bought

2005/CE/II/44

After the introduction of the 'individual visit' scheme, the Chinese government allows individuals from the mainland to travel in Hong Kong. This measure will increase Hong Kong's

- (1) tertiary production.
 - (2) GDP.
 - (3) invisible trade surplus.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2005/CE/II/47



According to the above diagram, from Year 2 to Year 5, the value of domestic exports of goods

- A. was decreasing.
- B. was increasing.
- C. remained constant.
- D. was indeterminate.

2006/CE/II/45

Many tourists from Mainland China buy souvenirs at Hong Kong Disneyland. Suppose these souvenirs are made in Mainland China. Then the tourist spending mentioned above is a/an _____ to Hong Kong.

- A. domestic export of goods
- B. re-export of goods
- C. export of services
- D. import of services

2006/CE/II/48

An Indonesian maid who works for a family in Hong Kong remits part of her wage earnings to Indonesia. In which component of the current account of Hong Kong's balance of payments should the above remittance be recorded?

- A. goods
- B. services
- C. income
- D. current transfers

2007/CE/II/48

Refer to the data of an economy in a certain year:

	<u>\$ Billion</u>
Domestic exports of goods	20
Re-exports	25
Imports of goods	40
Exports of services	23
Imports of services	19

The visible trade balance is \$ _____ billion.

- A. -20
- B. -5
- C. 5
- D. 9

2007/CE/II/50

An increase in the value of exports and a decrease in the value of imports in Country X would

- A. decrease its GDP.
- B. result in a surplus of its trade account.
- C. improve the balance of its current account.
- D. result in a depreciation of its domestic currency.

2008/CE/II/46

Which of the following should be included in the calculation of the invisible imports of Hong Kong?

- A. A Hong Kong citizen purchases shares in a state-owned enterprise on the Hong Kong stock market.
- B. A Hong Kong citizen buys some airtickets from a mainland Chinese airline.
- C. A mainland student pays tuition fees for his studies at a university of Hong Kong.
- D. A mainland investor purchases a residential apartment in Hong Kong.

2008/CE/II/47

Refer to the data of an economy in a certain year below:

	<u>\$ Billion</u>
Domestic exports of goods	50
Re-exports	35
Imports of goods	60
Exports of services	25
Imports of services	10

There is a/an _____ of \$ _____ billion.

- A. visible trade surplus 25
- B. visible trade deficit 10
- C. invisible trade surplus 40
- D. invisible trade deficit 15

2008/CE/II/48

Last year, a film crew came to Hong Kong to make a Batman movie. The shooting of the film in Hong Kong would

- (1) improve the visible trade balance of Hong Kong.
- (2) improve the invisible trade balance of Hong Kong.
- (3) increase the GDP of Hong Kong.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2008/CE/II/49

A US engineer is working in Hong Kong. Which of the following amounts should be included in the calculation of the balance of Hong Kong's current account?

- A. the part of her salary earnings that she deposits with a bank in Hong Kong
- B. the part of her salary earnings that she remits to her family in the US
- C. the money she pays to buy shares in Chinese state-owned enterprises quoted on the Hong Kong Stock Exchange
- D. the money she spends on buying clothes and toys in Hong Kong which are sent to her children in the US

2009/CE/II/47

Mary is a fashion merchandiser for a department store in Thailand. She came to Hong Kong and purchased \$300 000 worth of garments from a Hong Kong garment manufacturer. These garments were shipped directly from the garment manufacturer to the department store. During her stay in Hong Kong, she also bought a personal computer worth \$10 000 from an electrical appliance shop for her own personal use.

The \$300 000 worth of garments would be regarded as a/an _____ export of Hong Kong and the \$10 000 computer would be regarded as a/an _____ export or Hong Kong.

- A. visible visible
- B. visible invisible
- C. invisible visible
- D. invisible invisible

2010/CE/II/48

Refer to the following trade figures of an economy in a certain year:

	<u>\$ Billion</u>
Total exports of goods	140
Re-exports	50
Exports of services	33
Imports of goods	72
Imports of services	20

The visible trade balance is \$ _____ billion.

- A. 68
- B. 81
- C. 118
- D. 131

2010/CE/II/49

Which of the following should be included in the calculation of the invisible imports of Hong Kong?

- A. the money spent by a Hong Kong citizen to buy a ticket for a concert held in Macau
- B. the money spent by a Malaysian tourist to purchase a ticket for the 2009 East Asian Game held in Hong Kong
- C. the money spent by a Hong Kong citizen on donations to earthquake victims in Haiti
- D. the money spent by a Hong Kong citizen to purchase an RMB sovereign bond of mainland China through a Hong Kong bank

2012/DSE/I/40

Which of the following is an invisible import in the current account of Hong Kong?

- A. In Beijing, a Hong Kong tourist purchases tickets to visit a local museum.
- B. A Mainland resident consults a doctor in a hospital in Hong Kong.
- C. A Mainland billionaire donates money to a university in Hong Kong.
- D. A Hong Kong manufacturer purchases raw materials from a Mainland firm.

2014/DSE/I/43

Which of the following is included in the calculation of the balance of Hong Kong's current account?

- A. A mainland investor purchases a house in Hong Kong.
- B. A Hong Kong investor buys shares issued by a mainland listed company.
- C. A mainland resident buys an air ticket to Hong Kong from a mainland airline.
- D. A Hong Kong resident buys a life insurance policy from a mainland insurance company.

2015/DSE/I/43

A lecturer from the US has been working in Hong Kong for 10 years. Which of the following would be included in the calculation of Hong Kong's current account balance?

- (1) the money he gives to his wife in Hong Kong
 - (2) the money he uses to buy shares listed in the US stock market
 - (3) the money he donates to a charity organization in Africa
 - (4) the money he spends on visiting his parents in the US
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

2015/DSE/I/44

The following table shows some information about the balance of payments of Country A.

Items	\$ million
Balance on goods	-1 200
Balance on services	700
Net factor income from abroad	200
Net current transfer	-100
Increase in reserve assets	180

According to the above data, which of the following statements are correct?

- (1) The current account deficit is \$400 million.
 - (2) Country A's GDP is smaller than its gross national product.
 - (3) The balance of payments surplus is \$180 million.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2016/DSE/I/43

The following table shows the information about the balance of payments of a country:

	\$ million
Visible trade	20
Invisible trade	x
Capital inflow	70
Capital outflow	50

Suppose the foreign exchange reserves of the country increase by \$30 million. What is the value of x ?

- A. -70

B. -10
- C. +10

D. +70

2017/DSE/I/41

Which of the following transactions will be included in the calculation of the balance of payments of Hong Kong?

- (1) A Mainland resident who owns an apartment in Hong Kong receives rental payment from his tenant.

(2) A Japanese resident sells the shares of a Hong Kong firm to a Korean resident.

(3) A Hong Kong resident buys an air ticket to London from a Hong Kong based airline.

(4) An Indonesian who works in Hong Kong as a domestic helper remits money to her husband who lives in Indonesia.
- A. (1) and (3) only

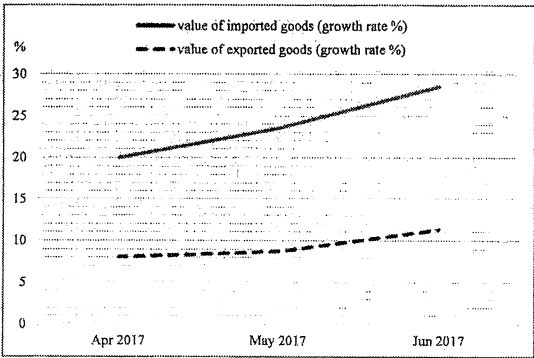
B. (1) and (4) only

C. (2) and (3) only

D. (2) and (4) only

2018/DSE/I/42

The diagram below shows some trade data of Country A in the second quarter last year.



Country A reported a trade surplus during that period. Based on the given information, we can conclude that during the second quarter last year,

- A. the trade balance was in deficit.

B. the volume of imported goods increased faster than that of exported goods.

C. the visible trade surplus decreased.

D. the current account deficit increased.

2018/DSE/I/44

The Hong Kong Tourism Board organised the E-sports and Music Festival in summer 2017. Foreign E-sports players and K-pop superstars participated in the festival and they attracted locals and tourists from other parts of the world to attend the event. Organising the festival will lead to

- (1) an increase in private consumption expenditure in Hong Kong.
 - (2) an increase in export of services in Hong Kong.
 - (3) a decrease in balance of payment deficit in Hong Kong.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2019/DSE/I/44

A Hong Kong billionaire travelled to Russia to watch matches in the World Cup. Which of the following would be included in the calculation of Hong Kong's balance of payments?

- (1) He bought a travel insurance for his Russia trip from a Hong Kong agency.
 - (2) He bought a jersey of the Russia national team in Moscow as a souvenir.
 - (3) He invested in a Russian football club and became the major owner.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2021/DSE/I/42

Refer to the following statistical data about Hong Kong.

	2020 first quarter (year-on-year change)	2020 second quarter (year-on-year change)
Exports of goods	-9.7%	-2.5%
Exports of services	-37.5%	-47.5%
Imports of goods	-10.7%	-7.4%
Imports of services	-26.2%	-44.6%

Based on the above information, we can conclude that

- A. Hong Kong had an invisible trade deficit in 2020 second quarter.
- B. Hong Kong's net exports in 2020 second quarter was lower than that in 2019 second quarter.
- C. Hong Kong's exports of goods in 2020 second quarter was lower than that in 2020 first quarter.
- D. Hong Kong's total imports of goods and services in 2020 second quarter was lower than that in 2019 second quarter.

2022/DSE/I/42

An international movie director came to Hong Kong to shoot a Hollywood movie for three weeks. Which of the following would be included in the calculation of Hong Kong's current account balance?

- (1) She stayed in a hotel in Tsim Sha Tsui.
 - (2) She bought souvenirs in a shopping mall in Central.
 - (3) She sold the copyright of the movie to a Hong Kong movie distributor.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2023/DSE/I/44

Which of the following is included in the calculation of the balance of Hong Kong's current account?

- A. A Mainland billionaire spends HK\$20 billion building a shopping mall in Hong Kong.
- B. A Japanese resident buys an air ticket to Hong Kong from an airline company in Japan.
- C. A Hong Kong resident receives interest from US Government bonds.
- D. A Hong Kong investor buys shares issued by a German listed company.

2024/DSE/I/40

Which of the following measures may increase the aggregate output and reduce the balance of payments deficits at the same time?

- (1) to set up night markets to attract foreign tourists
 - (2) to construct infrastructure by importing raw materials from foreign countries
 - (3) to launch a promotion campaign to attract more investment from foreign countries
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2024/DSE/I/41

In an open economy, if the government raises the income tax rate, the income tax revenue _____ and the total import value _____

- A. will increase may increase or decrease
- B. will decrease.....may increase or decrease
- C. may increase or decrease will increase
- D. may increase or decrease will decrease

2025/DSE/I/44

Which of the following is **NOT** included in the calculation of Hong Kong's current account balance?

- A. a bank transfer received by a Hong Kong resident from her son residing in London
- B. the revenue earned by a Hong Kong retailer from selling souvenirs to Mainland tourists
- C. the sum of money received by a Hong Kong landlord from selling his restaurant premises to an investor in Paris
- D. the rental income received by a Hong Kong resident from renting his apartment to a Mainland professor who stayed in Hong Kong for four months

Short & Structured Questions

1990/CE/I/3(a)(i)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

	<u>\$ Billion</u>
Private consumption expenditure	255
Government consumption expenditure	30
Gross domestic fixed capital formation	109
Increase in stocks	10
Domestic exports of goods	218
Re-exports of goods	275
Imports of goods	501
Exports of services	86
Imports of services	56
(The GDP deflator for 1980 = 100)	

Calculate the visible trade balance.

(2 marks)

1991/CE/I/4(b)

Every morning Mr. Chan transports vegetables from a farm in Shenzhen to Hong Kong. Explain whether

- (i) the import value of the vegetables, and
- (ii) the value of Mr. Chan's transport services

should be recorded in Hong Kong's visible trade account. Also, state the respective effects of (b)(i) and (b)(ii) on Hong Kong's balance of payments.

(6 marks)

1992/CE/I/4(c)

State the effect of each of the following on **BOTH** the balance of invisible trade and the balance of payments in Hong Kong.

(4 marks)

- (i) Company B deposited £1 000 into its savings account with a bank in England.
- (ii) Company B received a dividend payment from investment abroad.

1993/CE/I/2(b)(i)

Many Hong Kong manufacturers have recently moved their factories to China.

Explain the effect on the volume of Hong Kong's re-exports.

(3 marks)

1993/CE/I/4(a)

The following table shows the composition of Hong Kong's Gross Domestic Product (GDP) in 1980 and 1990:

<u>GDP Components</u>	<u>Ratio to total GDP</u>	
	<u>1980</u>	<u>1990</u>
Private consumption expenditure	62%	62%
Government consumption expenditure	A%	6%
Investment	36%	28%
Exports	88%	165%
Imports	93%	161%

- (ii) Was external trade more significant to Hong Kong's economy in 1990 than in 1980? Explain in terms of the above figures. (3 marks)
- (iii) Was there a trade deficit or surplus in 1980? In 1990? Give **TWO** reasons for the change in the trade balance. (6 marks)

1994/CE/I/8

Explain how it is possible for a country to have a trade deficit and a balance of payments surplus at the same time. (4 marks)

1995/CE/I/9(b)

The World Cup of 1994 was held in the USA. People from all over the world went to the US to watch the matches.

For each of the following situations, name the account(s) within the US balance of payments that would be affected, and explain how the US balance of payments would be affected.

- (i) Many tourists from other countries bought souvenirs in the US which were made in Hong Kong. (5 marks)
- (ii) Some hotels in the US were built before the event by foreign investors. (2 marks)

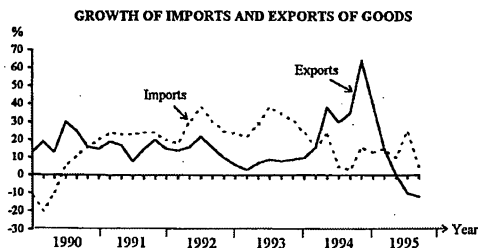
1996/CE/I/9

The table shows the items (in \$mn) of the balance of payments of a country in a certain year:

	<u>Debit</u>	<u>Credit</u>
Exports of goods		24
Imports of goods	35	
Exports of services		17
Imports of services	19	
Capital inflow		50
Capital outflow	65	
Foreign exchange & gold account		28
Total	<u>119</u>	<u>119</u>

- (a) Calculate the balance of current account. (1 mark)
- (b) 'The country has no balance of payments problem because the debit total for all items equals the credit total.' Explain whether you agree with this statement. (3 marks)

1997/CE/I/6



Explain under what conditions we can conclude from the above chart that the economy had a visible trade surplus from 1991 to 1993. (3 marks)

1997/CE/I/11(a)(i)

Suppose \$1 million worth of seafood is imported to Hong Kong. Half of it is sold to local households at \$0.8 million and half to local restaurants at \$0.7 million. These restaurants cook and sell the seafood to their customers at \$1.6 million of which \$0.6 million is tourist spending.

Explain whether the above transactions together will improve Hong Kong's

- (I) balance of visible trade.
- (II) balance of payments.

(4 marks)

1998/CE/I/8

Refer to the table below:

Year	Imports (\$mn)	Domestic Exports (\$ mn)	Re-exports (\$mn)
1996	1 535 582	212 160	1 185 758

Source: HONG KONG 1997

Based on the above information, explain whether we can come to the conclusion that Hong Kong suffered from a balance of payments deficit in 1996. (3 marks)

1998/CE/I/11(c)

In a certain year the sales revenue of Japanese cars in Hong Kong decreased. This was because the local demand for these cars dropped and the demand for re-export of these cars to Mainland China also declined.

(ii) Which account of Hong Kong's balance of payments was affected? (2 marks)

(iii) Explain the combined effect of the two changes in demand on Hong Kong's balance of payments. (5 marks)

1999/CE/I/6(b)

Aaron won an overseas scholarship and received a remittance of \$10 000.

Explain whether this initial sum of \$10 000 should be included in the calculation of the balance of invisible trade of the overseas economy. (2 marks)

2001/CE/I/8

Refer to Hong Kong's balance of payments account.

(a) (i) Two components of the current account are 'factor income' and 'current transfers'. Name the other **TWO** components. (2 marks)

(ii) Give an example of the component 'factor income'. (2 marks)

(b) Besides the current account, name the other account in the balance of payments account. (2 marks)

2004/CE/I/8

The following information shows the trade statistics of an economy in a certain year:

	\$million
Visible trade surplus	40
Domestic exports of goods	10
Import of goods	30
Import of services	50
Export of services	25

Calculate the value of re-exports of the economy. (3 marks)

2006/CE/I/11(a)

An increase in private consumption expenditure usually affects the visible trade balance and the public finance.

- (i) Explain how an increase in Hong Kong's private consumption expenditure may affect her visible trade balance. (3 marks)
- (ii) The data below show signs of a strong recovery of the Hong Kong economy in 2004.

	Change in value on a year-on-year basis
Private consumption expenditure	+6.8 %
Total export value of goods	+15.9%

Source : The HKSAR Government

Given the above information, explain under what condition would Hong Kong's 2004 visible trade balance worsen.

(2 marks)

2008/CE/I/11(c)

Trade deficit is a concern of many countries.

Explain whether the visible trade balance of a country would definitely be improved when the value of its imported goods decreases.

(4 marks)

2009/CE/I/8

Suppose the balance of payments account of Hong Kong in a certain year is as follows:

	\$ billion
1. Current Account	<i>R</i>
Goods	<i>S</i>
<u><i>P</i></u>	300
Income flow	30
Current transfers	-20
2. <u><i>Q</i></u> Account	-180
	<i>Total sum = 0</i>

- (a) The name of the component *P* of the current account is _____.
- (b) In the balance of payments account, the name of the *Q* account is _____ Account.
- (c) In the above table, *R* and *S* stand for the current account balance and the visible trade balance respectively. Suppose there are no errors and omissions.
 - (i) The visible trade balance = _____ billion dollars.
 - (ii) The domestic export of goods is \$147 billion and the import of goods is \$2 600 billion. Therefore the re-export of goods is _____ billion dollars.

(4 marks)

2010/CE/I/9(d)

Many mainland Chinese tourists buy souvenirs in Hong Kong which are imported from the Mainland. Explain why these transactions would improve the current account balance of Hong Kong's balance of payments.

(5 marks)

2013/DSE/II/6

The table below shows the items of the balance of payments of Country A in a certain year:

	Debit (\$ million)	Credit (\$ million)
Export of goods		35
Import of goods	50	
Export of services		47
Import of services	27	
Capital inflow		70
Capital outflow	85	
Foreign exchange and reserve assets		10
Total	162	162

- (a) Calculate the current account balance of Country A. (1 mark)
- (b) "Country A has a balance of payments surplus because there is an increase in foreign exchange reserves in that year." Explain whether you agree with this statement. (3 marks)

2015/DSE/II/12(a)

Research shows that the "Individual Visit Scheme" of mainland tourists has brought economic benefits to Hong Kong. However, more and more Hong Kong residents have called on the government to reduce the number of mainland tourists to Hong Kong under the Scheme.

How would the current account of Hong Kong be affected if the government limited the scale of the Scheme so that the number of tourists from the mainland would drop? Explain your answer. (2 marks)

2016/DSE/II/13(b)(i)

The airport corporation plans to build an additional runway. There are two proposals to finance the runway.

Proposal A: the government increases the income tax
Proposal B: the airport corporation charges a lump-sum fee on every departing traveller

Discuss the effects of the two proposals on the current account in the balance of payments of Country H. (5 marks)

2017/DSE/II/12(c)

Before the British people voted against staying in the European Union (EU), i.e. Brexit, workers from the EU were free to work in Britain and vice versa. Brexit has shocked the economies in Europe and the following table shows some views on Brexit:

<i>British politicians:</i> Low-skilled EU workers should be required to apply for a visa to work in Britain.	<i>British firm owners:</i> The new visa requirement for EU workers affects most of the firms in the British economy.
<i>Global investors:</i> Political uncertainty in Britain increases the risk of investment projects there.	<i>EU officials:</i> British citizens may require a visa to visit or to work in the EU countries.

Referring to the view of the *EU officials*, which **TWO** components of current account in the balance of payments of Britain may be affected? Explain your answer. (4 marks)

2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 - 25 are also required to join the military force for 2 years.

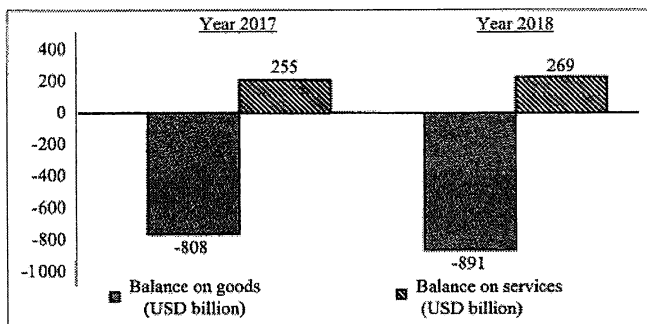
In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's balance of payments.

(4 marks)

2020/DSE/II/10A

The following source shows the current account data of the US in 2017 and 2018.



(a) (i) Describe the changes of current account data of the US in the above source.

(2 marks)

(ii) 'Based on the above source, we can conclude that the current account deficit of the US in 2018 *necessarily* increased.' Do you agree? Explain.

(2 marks)

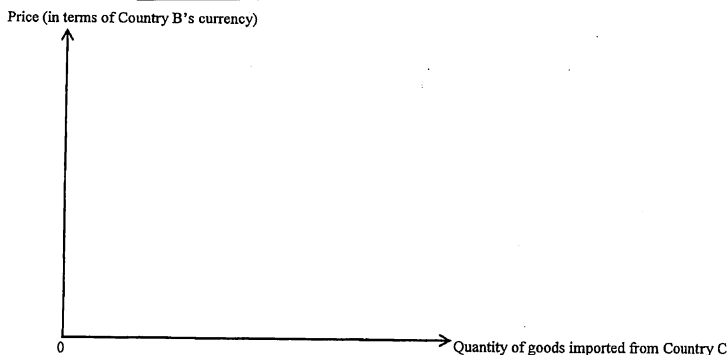
2022/DSE/II/4c

Country B and Country C are two large open economies. Facing a huge visible trade deficit, Country B imposes a per-unit tariff on goods imported from Country C. Suppose Country B's demand for goods imported from Country C is elastic.

(a) With the aid of Figure 1, explain how the tariff would affect the total expenditure of Country B on goods imported from Country C.

(6 marks)

Figure 1: Goods imported from Country C by Country B



2024/DSE/II/11(d)

Ann is the owner of a coffee shop in Hong Kong.

- (d) Suppose more and more Mainland visitors consume at Ann's coffee shop. Thus, Ann purchases more coffee beans from Brazil to cater for the increased business. Explain why these transactions may increase the current account balance of Hong Kong's balance of payments. (3 marks)